

severely under-funded.

According to a recent paper by the NITI Aayog, India can mobilise approximately \$16.2 trillion for its net zero transition by 2070 through targeted reforms in its financial system and stronger integration with global capital markets.

“On the domestic side this requires deeper capital markets, greater channeling of household savings into productive assets, and a shift by institutions towards high-quality corporate and green investments. Credible transition plans and a robust project pipeline can attract sustained foreign capital. Together, these measures can significantly scale the financing available for India’s net zero pathway,” it said.

Over the years, regulators as well as the government have initiated several steps to boost sustainable finance. For instance, in 2025, the Reserve Bank of India revised its priority sector lending norms, under which the definition and loan limits for renewable energy projects were increased, a move aimed at boosting loans to green energy projects.

In 2023, the Securities and Exchange Board of India (Sebi) modified the initial continuous disclosure requirements for issue and listing of green debt securities. In December 2024, it expanded the scope of sustainable finance in the Indian capital markets to include social bonds and sustainability-linked bonds. Then in June 2025, it specified the operational framework for ESG (environmental, social and governance) debt securities, prescribing initial and continuous disclosure requirements and requirements relating to appointment of an independent third-party reviewer or certifier.

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PUSHING SUSTAINABLE FINANCE

○ **India’s Sovereign Green Bond Framework approved by Finance Minister Nirmala Sitharaman in November 2022**

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○ **In 2026, the norms around appointing third-party reviewers or certifiers were revised**



reviewers or certifiers were revised. According to these norms, the reviewer shall be independent of the issuer, its directors or senior management personnel; the reviewer would have to be remunerated in a way to prevent conflict of interest and the reviewer would need to have expertise in assessing ESG debt.

Data from Climate Bonds, in 2025, shows green, social, sustainability and sustainability-linked (GSS+) debt reached \$1 trillion, the third year that aligned annual volume surpassed the \$1 trillion mark. Green bonds accounted for 60% of the deals. Cumulative since 2006, green

bond issuances have topped \$6.75 trillion.

India’s cumulative aligned GSS+ debt issuances reached \$55.9 billion by December 2024, a 186% increase over the \$21.4 billion in issuances in 2021. India now ranks the fourth largest emerging market source of aligned GSS+ debt globally, behind only China, South Korea and Chile.

According to CAREEdge, India’s sovereign green bond programme launched in 2022-23 under the Ministry of Finance’s Sovereign Green Bond Framework has been the single most important catalyst for market development.

About ₹57,697 crore has been cumulatively raised through green bond issues between 2022-23